

Fitness and Propriety

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to every `_firm_` that is:

1. (1) a `_CRR firm_` ;
2. (2) a `_credit union_` ; or
3. (3) a `_third country CRR firm_` in relation to:
 1. (a) the activities of its establishment in the `_UK_` ; or
 2. (b) if it does not have an establishment in the `_UK_` , activities in the `_UK_` .

1.2

The matters referred to in 2 are relevant to the `_PRA?s_` determination of whether a `_person_` to whom a `_PRA senior management approval application_` relates is fit and proper.

1.3

In this Part, the following definition shall apply:

`_regulatory reference template_`

means the template in 7.1.

2

Fitness and Propriety Assessments by Firms

2.1

A `_firm_` must not make a `_PRA senior management approval application_` in relation to a `_person_` unless it is satisfied that `_person_` is fit and proper to perform the `_PRA senior management function_` to which the application relates.

2.2

A `_firm_` must not issue a `_certificate_` in relation to a `_person_` , unless it is satisfied that `_person_` is fit and proper to perform the `_certification function_` to which the `_certificate_` relates.

2.3

A `_firm_` must not appoint a `_person_` as a `_notified non-executive director_` or `_credit union non-executive director_` , unless it is satisfied that `_person_` is fit and proper to perform that `_non-executive director_` role.

2.4

A firm other than a third country CRR firm must ensure that each member of its management body is at all times fit and proper.

[Article 91(1) CRD IV]

2.5

A third country CRR firm must ensure that each person who performs a PRA senior management function in relation to its UK establishment is at all times fit and proper.

2.6

In deciding whether a person is fit and proper pursuant to 2.1 to 2.5 and, where applicable, section 60A(1) of FSMA, a firm must be satisfied that the person :

1. (1) has the personal characteristics (including being of good repute and integrity);
2. (2) possesses the level of competence, knowledge and experience;
3. (3) has the qualifications; and
4. (4) has undergone or is undergoing all training,

required to enable such person to perform his or her function effectively and in accordance with any relevant regulatory requirements, including those under the regulatory system, and to enable sound and prudent management of the firm.

2.7

1. (1) Before deciding whether a person (P) is fit and proper, a firm must take reasonable steps to obtain appropriate references covering the past 6 years from the following:

1. (a) each FCA-authorised person and PRA-authorised person that is, or was:

1. (i) P's current or former employer; or
2. (ii) an organisation (not falling within (i)) at which P is currently serving, or has served, as an approved person, non-executive director, notified non-executive director, credit union non-executive director or a key function holder, or performed, or is currently performing, a certification function;

2. (b) P's other current and former employers; and

3. (c) from other organisations at which P served as, or is currently, a non-executive director.

2. (2) A firm (A) is not required to request references from an employer of P or any organisation referred to in (1) (such employer or organisation, B) where:

1. (a) A and B are members of the same group; and

2. (b) there are adequate arrangements in place under which A has access to all information sources to which B has access to the extent necessary were B giving a reference in accordance with this Part.

3. If A has access to only some of the information sources in (b), A may ask for a reference that only covers the information to which A does not have access. To the extent that A does not request a reference in the circumstances set out in this (2), A must access and obtain the relevant information.

4. (3) A firm must take reasonable steps to obtain references:

1. (a) in respect of a PRA senior management approval application, no later than one month before the end of the application period set out in section 61 of FSMA;

2. (b) where a request by a firm for a reference in respect of a PRA senior management approval application to an employer or organisation would require the firm, the employer, the organisation or any other person to make a mandatory disclosure prior to P disclosing to its current employer or organisation, as the case may be, that such

application has been made, before the end of the application period set out in in section 61 of _FSMA_ ; or

3. (c) in respect of the issuing of a certificate under section 63F of FSMA, before the certificate is issued.

2.8

1. (1) Where a _firm_ (A) seeks to obtain a reference pursuant to 2.7, A must request that the organisation giving the reference (B) discloses all matters of which B is aware that B reasonably considers to be relevant to the assessment of that _person's_ fitness and propriety.

2. (2) A must also request that, if B is a _full scope regulatory reference firm_ , B discloses the information contained in the _regulatory reference template_.

2.9

In deciding whether a _person_ (P) is fit and proper in connection with a _PRA senior management approval application_ or on appointment as a _notified non-executive director_ or _credit union non-executive director_ , a _firm_ must:

1. (1) obtain P's consent for the _firm_ to request the fullest information in relation to P that it is lawfully able to request under the Police Act 1997 (Certificates of Criminal records, etc) and related subordinated legislation of the _UK_ or any part of the _UK_ ;

2. (2) if P has lived or worked outside the _UK_ for a material time in the previous six years, obtain P's consent for the _firm_ to request the fullest information in relation to P that it is lawfully able to request under equivalent overseas legislation; and

3. (3) request, and have regard to, such information.

2.10

If a _firm_ previously obtained the information in 2.7 to 2.9 when it determined that a _person_ was fit and proper for the purposes of this Part and the _firm_ engages that person for a continuous period of time, the _firm_ is not required to comply with 2.7 to 2.9 again in respect of any subsequent appointments at the same _firm_ within that continuous period.

3

Conduct Standards

3.1

A _firm_ must contractually require any _PRA approved person_ , _notified non-executive director_ or _credit union non-executive director_ to:

1. (1) act with integrity;

2. (2) act with due skill, care and diligence;

3. (3) be open and co-operative with the _FCA_ , the _PRA_ and other regulators; and

4. (4) disclose appropriately any information to the _FCA_ or _PRA_ which they would reasonably expect notice.

3.2

A _firm_ must contractually require any _PRA approved person_ to:

1. (1) take reasonable steps to ensure that the business of the _firm_ for which they are responsible is controlled effectively;

2. (2) take reasonable steps to ensure that the business of the _firm_ for which they are responsible complies with

relevant requirements and standards of the _regulatory system_ ; and

3. (3) take reasonable steps to ensure that any delegation of their responsibilities is to an appropriate person and that they oversee the discharge of the delegated responsibility effectively.

4

Notified Non-Executive Directors ? Notifications

4.1

This chapter applies to _CRR firms_ only.

4.2

A _firm_ must notify the _PRA_ when a _person_ becomes a _notified non-executive director_ and shall provide the _PRA_ with all of the information needed to assess whether that _person_ is fit and proper. The _PRA_ directs that when such information is provided by a _designated investment firm_ , it must be accompanied by the _designated additional information_.

4.3

If the notification referred to in 4.2 is in respect of a _person_ who, on becoming a _notified non-executive director_ , ceases to perform a _PRA senior management function_ or an _FCA-designated senior management function_ , the firm is not required to provide information needed to assess the fitness and propriety of that person unless there has been a change in the information provided in respect of that person regarding fitness and propriety provided to the _PRA_ or the _FCA_ at the time the application for the approval for performance of the _PRA senior management function_ or the _FCA-designated senior management function_ was made.

4.4

If a _firm_ becomes aware of information which would reasonably be material to the assessment of a current or former _notified non-executive director's_ fitness and propriety under this Part, it must inform the _PRA_ in writing as soon as practicable.

4.5

Where a _firm_ replaces a _notified non-executive director_ because the _firm_ considers that _person_ no longer fulfils the requirements of 2.3, the _firm_ must notify the _PRA_ as soon as reasonably practicable.

4.6

Where a _notified non-executive director_ assumes a new role with the _firm_ or ceases to be a _director_ of the firm, the _firm_ must notify the _PRA_ in writing as soon as reasonably practicable.

5

Regulatory References

5.1

1. (1) If any _PRA-authorised person_ (A):

1. (a) is considering issuing a certificate to, making a _PRA senior management approval application_ in respect of, or appointing as a _key function holder_ , a _non-executive director_ , a _notified non-executive director_ or a _credit union non-executive director_ , a _person_ (P);

2. (b) makes a request for a reference or other information in respect of P from a _firm_ to which this Part applies (B), in B's capacity as:

1. (i) P's current or former employer; or
2. (ii) an organisation (not falling within (i)) at which P served as, or is currently, a _senior manager_, other _approved person_, _non-executive director_, _notified non-executive director_ or _credit union non-executive director_, or performed, or is currently performing, a _certification function_ or any other function; and
3. (iii) indicates to B the purpose of the request

2. B must, as soon as reasonably practicable, provide a reference and disclose to A in the reference all information of which B is aware that B reasonably considers to be relevant to A's assessment of whether P is fit and proper.

3. (2) A _firm_ (B) which is required to make a disclosure under (1) is required to disclose information on or relating to something which occurred or existed:

1. (i) in the six years before the request for a reference;
2. (ii) between the date of the request for a reference and the date B gives the reference; or
3. (iii) in the case of serious matters, at any time.

4. (3) When giving the reference referred to in 5.1(1), a _firm_ must

1. (a) use the _regulatory reference template_; and
2. (b) include all the information set out in the _regulatory reference template_.

5. (4) A _firm_ may make formatting modifications to the _regulatory reference template_ when giving a reference under 5.1(1), provided the _regulatory reference template_ as modified includes all substantive information required by (3)(b).

5.2

1. (1) If:

1. (a) a _firm_ to whom this Part applies (B) has given a reference pursuant to 5.1 to any _PRA-authorised person_ (A) about any _person_ (P); and

2. (b) either

1. (i) B is or has become aware of matters or circumstances that mean that, if B was giving that reference now, this Part would require B to draft it differently; or

2. (ii) B has reached conclusions of the type described in item (E), or taken _disciplinary action_ of the type described in item (F), of the _regulatory reference template_, and had B taken or reached those conclusions or actions in the six year period referred to in the _regulatory reference template_, this Part would require B to draft the reference differently; and

3. (c) it would be reasonable to consider the differences in (b) to be significant for an assessment by A of the fitness and propriety of P for the role at A for which the reference was given;

2. B must make reasonable enquiries as to the identity of P's current employer and (subject to (3)), provide A with details of those differences in writing as soon as reasonably practicable.

3. (2) The obligation to update regulatory references applies in the following circumstances:

1. (a) if P is no longer employed by or in the service of B, the obligation to update references in (1) ends six years after P ceased to be employed by, or in the service of B;

2. (b) if P is no longer employed by or in the service of B and the matters or circumstances are not serious matters, B does not have to disclose something if it did not occur or exist in the six year period ending on the date B gave the original reference. This limitation is additional to that in (2) (a).

3. (c) if P is still employed by, or in the service of B, (1), applies throughout the period P remains employed by, or in the service of, B.

4. (3) B is not required to update a regulatory reference given to A if:

1. (a) A is no longer a _full scope regulatory reference firm_;
2. (b) P is no longer employed by, or in the service of, A;

3. (c) P is not yet employed by, or in the service of A, and it is no longer intended that P will be employed or serve at A:
or
4. (d) despite making reasonable enquiries under (1) B does not know whether P is still employed by, or in the service of, A.
5. (4) (1) does not require B to update references provided prior to 7 March 2017.
6. (5) If a _firm_ (B) has given a reference to another _firm_ (A) under 2.7 in respect of a _person_ (P) no more than six years ago and, B asks A if P is still an employee of, or serving at, A, A must answer that question as soon as reasonably possible, even if B does not tell A the reason for the enquiry.

5.3

A _firm_ must not enter into any arrangements or agreements with any _person_ that limit its ability to disclose information under this Part.

5.4

This Part does not require a firm to disclose information that has not been properly verified.

5.5

1. (1) A _firm_ must arrange for orderly records to be kept that are sufficient to enable it to comply with the requirements of this Part in response to any requests for references referred to in that Part in relation to item (E) and item (F) in the _regulatory reference template_.
2. (2) A _firm_ does not breach the requirements of this Part by failing to include information in a reference that it would otherwise have to include if:
1. (a) the reason for the omission is that the _firm_ does not have the necessary records; and
 2. (b) neither (1) nor any other requirement of or under the _regulatory system_ requires the _firm_ to have those records.

6

Fitness and Propriety Transitional Provisions

6.1

The requirement to obtain regulatory references in accordance with 2.7 does not apply to a _firm_ in respect of any _person_ to the extent that:

1. (a) the _firm_ is deciding whether the _person_ is fit and proper for the purpose of issuing a _certificate_ to perform a _certification function_;
2. (b) immediately prior to 7 March 2017, the _person_ performed the same _certification function_ for the _firm_.

6.2

The requirement to request regulatory references from a _full scope regulatory reference firm_ in accordance with the requirements of 2.8(2) does not apply to a _firm_ in respect of an application for approval as an _approved person_ made before 7th March 2017.

6.3

[Deleted.]

6.4

A _CRR firm_ must notify the PRA before 7 March 2016 of any _director_ who, in relation to the firm, will be a _notified non-executive director_ on 7 March 2016 and who immediately prior to 7 March 2016 was approved as a _non-executive director_.

6.5

Item (F) in the _regulatory reference template_ does not require disclosure of _disciplinary action_ that took place before 7th March 2016 if the _firm?s_ records do not show whether the conduct that was subject to _disciplinary action_ amounted to a breach of the _individual conduct requirements_ referred to in item (F) in the _regulatory reference template_.

7

Template

7.1

The _regulatory reference template_ is the template found here.